ECONOMIC SURVEYS BY THE OECD

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GREECE

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AUGUST 1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

GREECE

BASIC STATISTICS

THE LAND

Area (1,000 sq.km)	130.9
Cultivated area	36.5
Major cities (census of 1961):	
— Greater Athens (including Piraeus)	1,853,000
— Salonika	374,000

THE PEOPLE

Population (census of 1961)	8,389,000
No. of inhabitants per sq.km	64
Natural increase in population per 1,000 inh. (annual average 1955-1960)	12
Labour force total (1960)	4,160,000
Agricultural labour force as a percentage of the total	49
Emigration (average 1961-1962)	71.400

PRODUCTION

Gross National Product in 1962 (millions of drachmaes)	96,267
G.N.P. per head (U.S. $)	383
Gross fixed investment (average 1961-1962):	
— Per cent of G.N.P.	20
— Per head (U.S. $)	77
Origin of G.D.P. at factor cost in 1962:	
Agriculture	25 %
Industry	25 %
Services	50 %

THE GOVERNMENT

Public current expenditure on goods and services in 1961 (percentage of G.N.P.)	17
General Government current revenue in 1961 (percentage of G.N.P.)	18
Public gross fixed investment in 1961 (percentage of G.N.P.)	8
Composition of Parliament:	seats
Radical National Union	176
Center Union	78
Unified Democratic Left	24
Others	22

Last election: 1961.
Next election: November 1963.

LIVING STANDARDS

Calories per head, per day (1960)	2,900
Percentage of expenditure on food in private consumption (1960)	45
Steel consumption per head (1960)	52 kg
No. of passenger cars in use per 1,000 inhabs (1961)	6
No. of telephones per 1,000 inhabs (1962)	28
No. of radio sets per 1,000 inhabs (1961)	70

FOREIGN TRADE

EXPORTS

Exports of goods and services as a percentage of the G.N.P. (1962)	15
Main exports as a percentage of total exports (1962):	
Tobacco	28
Cotton	16
Currants	12
Mining products	8

IMPORTS

Imports of goods and services as a percentage of the G.N.P. (1962)	23
Main imports as a percentage of total imports (1962):	
Raw materials	25
Machinery	16
Foodstuffs	14
Petroleum products	8

THE CURRENCY

Monetary unit: drachma.

Currency unit per U.S. $: 30.

ECONOMIC SURVEYS BY THE OECD

GREECE

ERRATA

p. 11, paragraph 13, 2nd sentence should read:

The revenue has increased by an average of 7.2 per cent per annum at current prices until 1961 and the increase in current expenditure was kept down to a lower rate (6.7 per cent).

p. 21, paragraph 29, 10th line, should read:

Thus the proportion of the latter accounted for by investment, which was only 14 per cent in 1951, that is less than the rates in most industrial countries, rose to 20 per cent in 1961 and should reach 23 per cent in 1966 and 25 per cent in 1971.

p. 33, add after the last line:

... this in their estimates, so that the amount of foreign funds deemed necessary for the execution of the Plan is exactly equal to the deficit of the current balance. On this assumption, gold and currency reserves...

p. 34, paragraph 54, 6th line, should read:

... 1958, a credit for a project of $ 50 million...

p. 35, delete the last two lines.

p. 36, delete the first line.

ECONOMIC SURVEYS BY THE OECD

GREECE

1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy ;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development ;*
- *to contribute to the expansion of world trade on a multilateral, non-dicriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are : Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in August 1963

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GREECE

INTRODUCTION

1. The Greek economy has made considerable progress during the last decade. Production has expanded substantially, while internal stability has been maintained. Nonetheless, the economic prospects for 1963 however have turned out to be less favourable than was expected since the particularly rigorous winter has affected agricultural production and caused damage. The position of agriculture has also affected industrial production which is progressing at a slower rate. From other angles however the current position of the Greek economy seems satisfactory; prices are stable and the remarkable development in the receipts from invisibles, especially tourism, has so far made it possible to cope with the steady growth in imports without detriment to the balance of payments notwithstanding the termination of the supporting assistance granted by the United States up to 1962.

2. Nevertheless, the underlying problems concerningt he industrialisation and development of the country remain serious and complicated. After ten years of reconstitution and recovery during which satisfactory growth was achieved in conditions of financial stability Greece now finds herself in the initial stages of a movement which may lead her at the end of ten years into the group of developed countries. The association of Greece with the E.E.C. should aid this move but at the same time it raises in even more imperative fashion the question of modernising the productive and economic structure of the country.

3. The first part of the present report summarises the trend of the Greek economy over the last five years and its position in the first half of 1963. The second part deals with the targets and methods of development programmes adopted by the Greek authorities. Part three deals with major problems which must be solved by Greek development policy, mainly the expansion of private productive investment and the internal and external financing of overall investments.

I. THE TREND OF THE ECONOMY FROM 1958 TO 1962

Production and employment

4. During the period 1953 to 1958 the G.N.P. grew at the average rate of 5.9 per cent per annum. Since 1958 the rate of expansion

has slowed down very slightly (5.8 per cent on average for the period 1958-1962). Even so, it should be noted that this average rate is largely influenced by the results of a single year, 1961, in which the G.N.P. increased by 11.6 per cent as a result of an exceptionally good agricultural year. The growth rate was 4.8 per cent for 1959, 4.2 per cent for 1960 and is estimated at 2.9 per cent for 1962.

TABLE 1. NATIONAL PRODUCT AND EXPENDITURE

Million 1954 drachmae.

	1958	1959	1960	1961	1962*
Private consumption	59,446	60,585	63,350	68,178	69,600
Public consumption	7,800	8,380	8,589	8,810	9,600
Private fixed investments	11,880	13,754	19,620	18,246	16,460
(of which shipping)	(2,374)	(4,866)	(9,334)	(6,650)	(3,260)
Public fixed investments	3,580	4,186	5.654	6,484	7,300
Stock changes	710	750	550	1,400	— 107
Exports of goods and services	10,907	11,284	12,224	14,453	16,504
Imports of goods and services	17,971	19,573	25,802	24,915	23,090
Gross National Product (at market prices)	76,352	79,366	83,076	92,656	96,267
Gross domestic product (at factor cost)	67,210	70,464	73,418	81,874	84,250
— agriculture	19,558	20,604	19,125	22,781	21,400
— manufacturing industry	12,494	12,823	13,862	14,952	15,900
— construction	3,105	3,289	4,109	4,608	5,200
— others	32,053	33,748	36,322	39,533	41,750

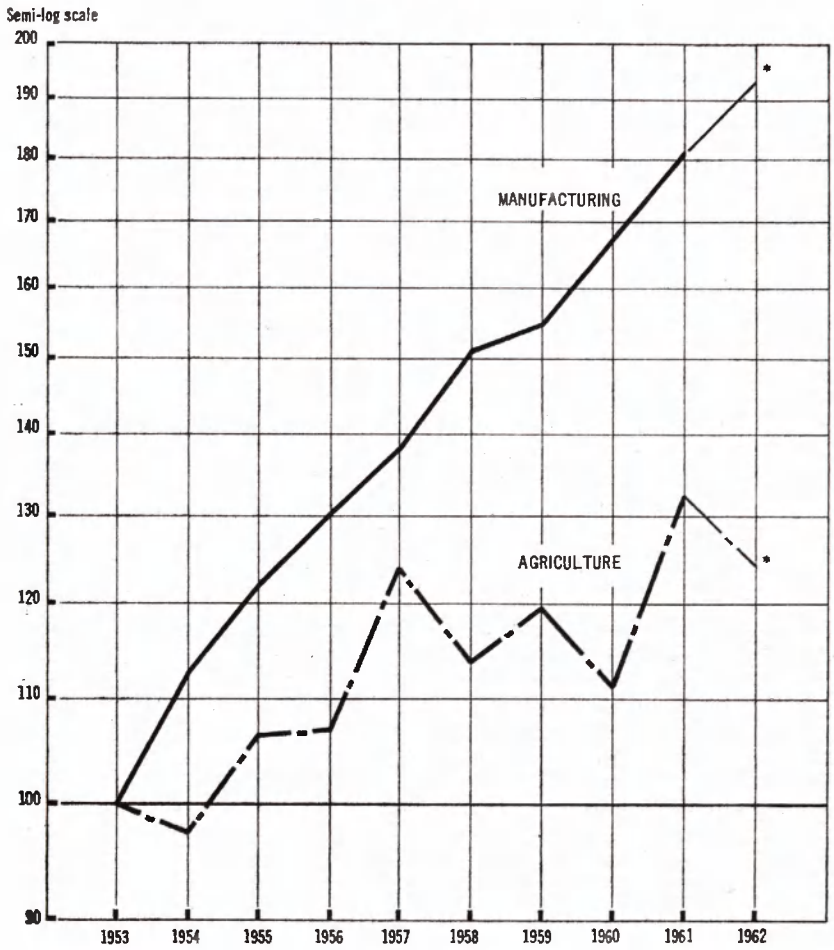
Source: Ministry of co-ordination.
* Provisional.

5. The slowing down in growth is partly attributable to the trend of agricultural production which increased by 6 per cent on average between 1952-53 and 1957-58 and has only increased by an average of 2 per cent from 1957-58 to 1961-62. This trend is largely explained by the stabilization of wheat production once it reached the level of internal consumption. There has on the other hand been satisfactory progress in the production of cotton, fruit and fodder crops. This progress partly reflects the results of the new orientation of agricultural policy which consits in the use of subsidies and various other incentives to direct production (incentives to the production of cotton and forage crops) or to reduce its cost (subsidies for fertilizers and agricultural machinery, lower interest rates and cheaper power). The overall cost of aid to agriculture however does not seem to have risen since there has at the same time been a reduction in the cost of price support.

6. The average growth rate of industrial production over this period — 7.5 per cent — was strongly influenced by the economic situation of 1958. Even in this field however a certain slowing down has been recorded since industrial production increased by 8.1 per cent in 1960, 7.9 per cent in 1961 and 6.3 per cent in 1962. On the other hand, the structural development of industry seems to have been

much more satisfactory. In practice the industries which characterise a less developed country such as food, textiles, clothing and footwear, wood-working products and furniture have declined from 66 per cent of manufactures in 1953 to 61 per cent in 1958 and 54 per cent in 1961 simultaneously with a rapid expansion of the chemical engineering and electrical engineering industries.

GROSS PRODUCT IN MANUFACTURING AND AGRICULTURE
1953 = 100



* Estimate.
Source : Based on data supplied by the Greek National Accounts Service.

7. Partial information only is available on the trend of employment, which seems to indicate that it has growm fairly rapidly since 1958 in the services sector, especially in activities connected with tourism

and merchant shipping, and in construction but not so fast in the processing industry. The index of the Federation of Greek Industry which relates to a limited number of firms shows that there was an appreciable fall in employment in 1959, a year of industrial slowing down, but that this fall was more than made up in subsequent years. The number of registered unemployed in 1962 was appreciably the same as in 1958 after increasing slightly in 1959 and 1960. Unemployment has recently fallen slightly. A substantial increase in emigration has taken place since 1960, stimulated mainly by the manpower requirements of the Federal Republic of Germany.

TABLE 2. TREND OF EMIGRATION

	1958	1959	1960	1961	1962
Total	24,521	23,684	47,768	58,837	84,054
Overseas	17,954	16,971	20,841	19,273	23,300
Europe	6,567	6,713	26,927	39,564	60,754
of which :					
Federal Republic of Germany	1,975	2,543	21,532	31,107	49,532

Source : Monthly Bulletin of the Monthly Statistics Service.

FACTORS IN DEMAND

8. During the period under review public consumption in real terms went up at an average annual rate of 5.4 per cent and private consumption by 4 per cent. Investment in the public sector which was one of the decisive factors in expansion between 1958 and 1962 increased by an average of 21.5 per cent per annum, and total private fixed investment by an average of about 8.5 per cent. Public investment amounted to 35.6 per cent of total investment in 1962 compared with 27.4 per cent in 1958. It should further be noted that the proportion of private fixed investment represented by housing remained very high, 41.4 per cent in 1958 and 40 per cent in 1962. The slowness with which private productive investment is getting under

TABLE 3. PRIVATE AND PUBLIC FIXED INVESTMENT [1]

At 1954 prices.

	1958	1959	1960	1961[2]	1962[2]
Total investment :					
1. Fixed (*in millions of drachmae*)	13,086	13,074	15,931	18,080	20,500
2. Public investment (*percentage of total*)	27.4	32.0	35.4	35.9	35.6
3. Private investment (*percentage of total*)	72.6	68.0	64.6	64.1	64.4
4. *of which :*					
Housing (*percentage of total*)	32.5	31.2	28.0	28.2	26.6

1. Excluding the value of shipping transferred to Greek flag.
2. Estimates.
Source : Ministry of Co-ordination.

way in spite of a certain improvement in 1962 remains one of the essential problems facing Greek development policy.

9. On the whole, external demand made little contribution towards stimulating the Greek economy over this period. In terms of value exports of goods and services did not exceed the 1957 level until 1961 ; their increase over the period 1958-1961, entirely concentrated in the latter year, was 20 per cent (the expansion in volume was 33 per cent accompanied by an appreciable fall in export prices). Even this improvement is essentially due to the remarkable expansion in tourism. Exports of merchandise fell between 1958 and 1960 and their recovery in 1961 and 1962 is largely due to specific factors (exceptional harvests in 1961, and a decline in competitive agricultural production in other countries). In terms of volume the increase in exports of merchandise between 1958 and 1962 represents an average annual rate of less than 4 per cent and in terms of value it is negligible.

TABLE 4. TREND OF EXPORTS

		1958	1959	1960	1961	1962
Total	Million dollars	242,8	212,5	208,6	234,3	242,6
Principal products						
Tobacco	"	92,0	70,7	72,4	80,7	68,0
Cotton	"	23,1	26,4	19,2	27,4	39,0
Currants	"	34,0	29,9	27,3	29,2	28,5
Fresh fruit	"	8,4	11,9	10,6	15,8	19,0
Mineral ores	"	14,9	14,4	18,0	15,6	15,5
Industrial products	"	5,0	6,5	7,8	8,0	11,0
Geographic distribution						
United States	As % of total	15.1	15.4	15.6	16.3	11.3
E.E.C.	"	41.7	39.1	32.5	31.6	34.7
Great Britain	"	8.2	9.5	9.6	7.4	8.9
Eastern countries	"	15.6	15.6	21.8	22.3	22.1
Rest of the world	"	19.4	21.2	20.5	22.4	23.0

Source : Monthly bulletin of the Bank of Greece.

MONETARY EQUILIBRIUM

10. Throughout, the period under review expansion has been accompanied by price stability. The rise in both wholesale and retail prices has been between 1 per cent and 1.5 per cent every year since 1958 and is one of the lowest recorded in Europe. This stability is all the more remarkable since according to the partial data available wages have risen over the same period by about 5 per cent to 6 per cent per annum. The reconstitution of liquidities and the growth of monetary savings have also continued. The total money supply including savings deposits thus amounted to about 39 per cent of national income in 1962 compared with about 20 per cent in 1957.

11. Not only are savings expanding but their pattern is progressively improving. In 1962 more than one-third of the net growth in private bank deposits was in the form of time deposits which have almost trebled in 12 months and now amount to 18 per cent of total private deposits. This tendency seems largely due to the increase of one point in the interest rate on this type of deposit decided in October 1961. Another outstanding fact in recent years is the increasingly marked orientation of savings towards the capital market. This market is still dominated by Government issues but a certain revival of private issues has been noticed in the last two years.

TABLE 5. SAVINGS DEPOSITS AND TIME DEPOSITS IN THE PRIVATE SECTOR AND INVESTMENT IN SECURITIES

VARIATION AT THE END OF THE PERIOD

Million drachmae.

	1958	1959	1960	1961	1962
Savings deposits	+ 1,668	+ 2,772	+ 2,291	+ 2,029	+ 2,658
Time deposits	+ 481	+ 169	— 136	+ 342	+ 2,063
Total	2,149	2,941	2,155	2,371	4,721
Investment in securities	554	307	1,381	879	2,133
of which : Private securities	64	—	51	139	633

Source : Bank of Greece.

12. Between 1958 and 1962 the total of credits to the economy grew by 72 per cent or an average of 14.5 per cent per annum. This expansion was made easier by the rapid growth in savings which has been observed since 1956 and was mainly sustained by the commercial banks, although the contribution of the Bank of Greece continues to be relatively important. The development of credit was somewhat irregular, mainly due to the two-year cycle in agriculture. Fairly marked fluctuations have, however, also been noted in the new credits granted to industry. This phenomenon is no doubt linked with the evolution of industrial activity, but it also reflects the varying liberality of the conditions of monetary policy, the authorities having tried progressively to lower the rate of interest without compromising the formation of savings. The constant aim of Greek policy has also been the development of long-term credits in the private sector. The very substantial increase in credits in 1962 reflects an appreciable increase in credits to industry and commerce. Nevertheless, in the latter case, it has mainly been a question of financing tobacco stocks, the marketing of which was delayed.

TABLE 6. TREND OF CREDITS TO THE ECONOMY
ANNUAL INCREASE

Million drachmae.

	1958	1959	1960	1961	1962
Credits to agriculture	955	1,079	557	1,078	669
Credits to industry	1,486	594	1,703	1,235	2,005
Credits to commerce	309	230	436	199	1,654
Other credits to the private sector	293	396	703	564	561
Credits to public enterprises	71	147	486	280	214
Credits to public bodies other than the State	219	55	340	336	345
Total of credits	3,333	2,501	4,225	3,692	5,448
of which :					
Long term to the private sector (over 5 years)	928	1,284	1,398	1,340	1,140
Agriculture	462	630	578	547	106
To industry and the mines	244	277	283	368	633

Source : Annual bulletin of the Bank of Greece.

PUBLIC FINANCE

13. Since 1958, the authorities have made every effort to maintain a surplus on the current State budget (Central Government). The revenue has increased by an average of 7.2 per cent annum at current down to a lower rate (6.7 per cent). Nevertheless there has been a substantial change in 1962 mainly as the result of a sudden increase in transfer expenditure. A very appreciable increase has also been observed in the State's investment expenditure which has more than doubled since 1958. The result has been a substantial increase in the overall deficit. By the issue of Treasury bonds and subsequently by long-term borrowing on the internal market the State was able to cover part of this deficit but it had to have recourse to external sources of finances (especially American aid counterpart funds, German loans and indemnities) which contributed a constantly increasing share up to 1961.

BALANCE OF PAYMENTS

14. Examination of the trend in the balance of payments since 1958 shows :

i) that the deficit on current transactions has remained at about $ 100 millions.[1] Increased imports caused an increase in the

1. Except for 1959, the year in which the deficit was only $ 70,000,000 because of a marked decline in imports, and 1962, where it rose to $ 126,000,000.

TABLE 7. THE STATE BUDGET AND FINANCING OF THE DEFICIT

Million drachmae.

	1958	1959	1960	1961	1962
1. *Current Budget:*					
Revenue	13,901	14,365	15,209	17,662	19,522
Expenditure	12,860	13,635	14,350	16,253	17,968
Balance	+1,041	+ 730	+ 859	+1,409	+1,554
2. *Investment Budget:*					
Revenue	206	426	530	692	636
Expenditure	2,596	3,397	4,122	5,056	5,853
Balance	–2,390	–2,971	– 3,592	– 4,364	–5,217
Overall deficit	–1,349	–2,241	–2,733	–2,955	–3,663
Financing of the deficit:					
3. *Internal financing:*					
Long-term loans	—	—	—	750	990
Treasury bonds	545	86	995	380	1,084
Central Bank advances	116	1,129	144	—	640
Total	661	1,215	1,139	1,130	2,714
4. *External Financing:*					
American aid:					
— grants	261	691	780	682	78
— loans	425	58	—	323	118
European loans	—	3	810	823	423
War and other indemnities	2	274	4	7	330
Total	688	1,026	1,594	1,835	949
Total (3 + 4)	1,349	2,241	2,733	2,965	3,663

Source: General Directorate of National Accounts.

trade deficit of the order of $ 130,000,000 between 1958 and 1962. This increase in the deficit was however offset for the most part by substantial increases in invisible earnings and emigrants' remittances.

ii) that imports of foreign capital, particularly official and bank capital, increased, causing the official reserves to rise fairly substantially from 1959 onwards. American aid in its various forms was of the order of $ 50 million per year from 1958 to 1961, but it fell appreciably in 1962. The increased inflow of private capital recorded in 1961 and 1962 is mainly due to the repatriation of Greek capital in consequence of

political events in Africa, capital which was mainly invested in housing. There was also however, particularly in 1962, a marked increase in imports of capital guaranteed by the 1953 law, and destined for productive investment.

TABLE 8. BALANCE OF PAYMENTS

Million dollars.

	1958	1959	1960	1961	1962
Imports c.i.f.	531,7	465,1	520,4	585,1	661,1
Expors f.o.b.	242,8	212,5	208,6	234,3	242,6
Trade balance	— 288,9	— 252,6	— 311,8	— 350,8	— 418,5
Invisible earnings (including emigrants'remittances)	217,6	237,2	273,2	319,6	379,6
Invisible expenditure	47,7	54,9	65,5	75,5	87,6
Balance of invisibles	169,9	182,3	207,7	244,1	292,0
Balance of current transactions	— 119,0	— 70,3	— 104,1	— 106,7	— 126,5
Capital transactions					
Private capital (net)	61,1	47,3	32,6	56,8	103,1
Official and bank capital (net)	— 8	— 7,6	10,0	32,3	10,0
Balance net of American aid	— 65,9	— 30,6	— 61,5	— 17,6	— 13,4
American aid	43,8	54,6	56,4	54,4	38,8
War indemnities	0,2	0,9	0,8	0,9	37,8
Errors and omissions	— 0,8	— 1,8	+ 5,1	— 12,5	— 4,4
Overall balance	— 22,7	+ 23,1	+ 0,8	+ 25,2	+ 58,8
Variations in clearing accounts	+ 3,6	— 8,2	— 10,9	— 1,8	+ 10,8
Other movements of a monetary character:					
Increase in holdings[1]	— 26,3	+ 31,3	+ 11,7	+ 27,0	+ 48,0

1. These figures do not tally with the trend of official reserves which are also influenced by the transactions of the Bank of Greece on the internal gold market.

THE STATE OF THE ECONOMIC CYCLE IN 1963

15. It was hoped that there would be a fairly sharp increase (8 per cent) in the gross national product in 1963, but this expectation has not been fulfilled by the economic trend since the beginning of the year. Bad weather conditions have affected agricultural production. It was hoped that this would rise appreciably this year thanks to the increase in olive oil supplies (a two-year cycle) but the frost destroyed several hundred thousand olive trees thus dama-

TABLE 9. PRIVATE CAPITAL MOVEMENTS

Million dollars.

	1958	1959	1960	1961	1962
I. INWARD:					
A. *Re-exportable capital:*					
a) *Long-term:*					
Investments protected by Law No. 2687	8,5	4,4	5,9	7,3	14,8
Oil company loans	—	9,7	5,2	1,4	—
b) *Short-term*	13,8	13,3	5,2	10,5	13,2
B. *Suppliers' credits* (net)	18,3	– 4,5	7,8	6,0	31,7
C. *Other inward movements:*	29,1	38,5	38,8	48,8	58,5
Total inward movements	69,7	61,4	62,9	74,0	118,2
II. OUTWARD:					
A. Ordinary transactions	8,6	14,1	13,7	10,2	15,6
B. Extraordinary transactions			16,6	7,0	—
Total outward movements	8,6	14,1	30,3	17,2	15,6
III. NET INWARD MOVEMENTS	61,1	47,3	32,6	56,8	102,6

Source: Bank of Greece.

ging not only the 1963 harvest but to some extent also those of the years to come. It therefore seems very likely that agricultural production will not increase as much as was hoped. Industrial production, though it recovered slightly, advancing by 4.2 per cent in the first four months of 1963 compared with the first four months of 1962, also shows signs of weakening, probably because of poor internal demand connected with the stagnation of agricultural incomes.

16. The trend in official revenue seems to have been fairly satisfactory during the first four months of the year. It rose by 10 per cent compared with the corresponding period in 1962, owing entirely to the increased values resulting from the reform of indirect taxation. Actual payments on account of official investment have declined by about 20 per cent compared with those of a year ago as a result of bad weather. It is clearly too soon to give a definite opinion of the final figure which official investment will reach by the end of the year but the authorities forecast an acceleration of investment expenditure which should make it possible to complete the whole programme during the year.

17. Figures are not yet available concerning the trend in private investment. All the same, now that several important projects have

been started (aluminium, nickel, iron and steel and chemical products), mainly with foreign capital, and as the private sector in Greece seems to be active, a substantial rise in these investments may be expected. It is a trend which should be encouraged by the recent setting up of two investment banks, the reduction in the discount rate made in January, and the continued growth of bank deposits.

18. The scale of emigration observed in recent years might be about to raise problems. The development programme provided for an average of 26,000 emigrants per year, over the period 1962-1971, but the number was more than 84,000 in 1962 compared with 58,800 in 1961, a figure never before attained, while information available for the first months of 1963 shows that the movement continues to grow. It is difficult to say whether the phenomenon is temporary or permanent, but it seems that some strain might in future appear in the labour market, particularly for skilled workers, whereas the abundance of manpower and its comparative cheapness is one of the country's greatest advantages at the beginning of a phase or accelerated industrialisation.

19. The unfavourable trend in agricultural production is directly reflected in the development of the trade balance during the first four months of 1963. Payments for imports exceeded earnings from exports by $ 100.5 million, with $ 93.5 million for the same period in 1962 and $ 93.8 million in 1961. Imports increased by $ 27.4 million, more than 70 per cent of this increase ($ 19.6 million) being due to the country's increased need for food products, particularly meat, cereals and vegetable oils. All the other headings also increased with the exception of capital goods. Exports were $ 114.4 million (94 in 1962) owing mainly to late sales of tobacco (+ $ 18.8 million).

20. The deficit on the current balance of payments was covered by invisible earnings and transfers of private and public capital. While earnings from tourism are rising, however, those from merchant shipping are declining by comparison with the corresponding period of 1962. Private capital transfers amounted to $ 31.4 million during the first quarter compared with $ 18.7 million a year ago. Finally, war indemnities amounted to $ 5.6 million and American aid to $ 16.2 million. Thanks to these various items of income, reserves increased by $ 15.9 million, but it should be noted at the same time that supplier credits increased by $ 7.2 million. In spite of this result, the prolonged stagnation of exports and the serious increase in imports (particularly of consumer goods) continues to give cause for anxiety.

II. DEVELOPMENT PLANNING

21. The adoption of a long-term economic development plan had been recognised as necessary for many years. There were, however, various difficulties (particularly the shortage of statistics) and uncertainties (the European Free Trade Area negotiations, followed by

Greece's association with the European Economic Community), with the result that the first plan to be officially adopted was that of 1960-1964. Since then, ten-year forecasts from 1962 to 1971 have been made and a memorandum giving revised forecasts for 1962-1966 has been drawn up in the light of the experience of the years 1960-1961. This is at present being revised with the object of producing a Second Development Plan covering the period 1965-1970. This technique of « rolling revision » is designed to enable the authorities to make use of the increasing statistical information available, of experience in applying it, and of gradual changes in the structure of the economy. It makes it somewhat difficult, however, to compare two successive Plans and sometimes to discuss their results. These difficulties are lessened by the fact that the successive amendments are not, and could not be, too abrupt. In the following paragraphs, and in the absence of information about the 1965-1970 Plan, an endeavour has been made to describe the essential aims and methods of Greek planning, referring to the ten-year forecast 1962-1971 and the revised 1962-1966 Plan for the figures.

22. The development process as it is envisaged in the Greek Plan, must take place within a free enterprise economy. From this it follows that a Plan can only be an indication as far as it concerns the private sector, on which the Plan imposes no obligations. Monetary and fiscal policy are the only means by which it is intended to direct the activities of that sector. The State does not consider that is might replace private enterprise except temporarily, and then only if the latter were unable or unwilling to carry out tasks which were essential to the attainment of the objectives. The plan begins by defining the objectives and fixing the general level of resources and employment corresponding to those objectives, taking into account the essential relationships known or estimated between the main variables in the economy. The Plan then draws up a fairly detailed programme of investment, particularly public investment which is clearly the main instrument of development policy. Finally, it gives indications as to the direction to be taken by monetary, financial, administrative and social policies, and the first measures implied in that direction.

Trend of the gross domestic product

23. The national income should increase by 6 per cent between 1962 and 1971 ; this rate is essentially the same as that achevied during the last ten years. This comparison of average growth rates tends, nonetheless, to underrate the effort implied in carrying out the Plan, because of the tendency shown since 1958 for production to slow down, and also because of the fundamental changes in economic structure which are planned. For a rapid rate of expansion to be maintained, it is particularly necessary that the slower growth forecast in the agricultural sector be offset by a faster increase in production in the other sectors.

24. The Greek Plan aims in fact to make the country's economy turn a corner by commiting it firmly to a course of industrialisation. To this end it is planned to set up a series of large production units able to compete with similar undertakings abroad, including heavy industries (aluminium, steel, and a second oil refinery), light export

TABLE 10. TREND IN GROSS DOMESTIC PRODUCT

At 1961 prices.

	1961		1971		ANNUAL RATE OF GROWTH
	MILLION DR.	%	MILLION DR.	%	
Agriculture	28,050 (25,825)[1]	28	36,400	22	2.7 (3.5)
Processing	25,185	28	53,650	32	7.8
Services	39,790	44	76,550	46	6.8
Domestic product	93,025 (90,800)[1]	100	166,600	100	6.0 (6.3)

Source: Memorandum on the Greek Development Programme.
1. Average 1961-62.

industries, (processing of agricultural products) and industries intended essentially for supplying the home market (sugar, fertilizers). It is planned to set up industrial areas in various regions (Salonica, Patras, Larissa, Volos). The most rapid rates of expansion are planned for the engineering, metal-working, chemical, textile and building materials industries.

TABLE 11. TREND OF THE GROSS INDUSTRIAL PRODUCT
(added value) from 1961 to 1971

Million drachmae at 1961 prices.

INDUSTRIALS SECTORS	1961		1971		ANNUAL RATE OF GROWTH
	MILLION DR.	%	MILLION DR.	%	
1. *Mining and quarrying*	1,057	4.20	2,500	4.66	9,0
2. *Processing industries*	17,159	68.13	36,100	67.30	7,7
of which:					
a) food, drink and tobacco	3,528	14.00	5,200	9.73	4,0
b) textiles	2,261	8.99	5,350	9.97	9,0
c) manufacturing	2,340	9.30	5.050	9.41	8,0
d) chemicals	2,242	8.90	5,300	9.87	9,0
e) metal-working	359	1.42	1,330	2.48	14,0
f) engineering	2,111	8.38	5,000	9.32	9,0
3. *Public utilities*	1,476	5.86	4,190	7.81	11,0
4. *Construction*	5,493	21.81	10,860	20.23	7,1
Total	25,185	100.00	53,650	100.00	7,8

Source: Memorandum on the Greek Development Programme.

25. In the other sectors, the Plan attaches particular importance to the development of activities connected with tourism and to changing the pattern of cultivation in the agricultural sector as demand at home and possible markets abroad evolve. Under the agricultural programme, cotton production should almost treble in 10 years and a substantial increase is expected in livestock and its products, and in the production of fodder, fruit and vegetables. Cultivation of tobacco, which has tended to decrease for some years, will again be developed. The area sown will be considerably reduced, but this will only slightly affect total production of wheat, thanks to better yields.

TABLE 12. GROSS VALUE OF AGRICULTURAL PRODUCTION

Million drachmae at 1961 prices.

	Average 1960/61		1971		Change 1960/61 = 100
	Gross value	%	Gross value	%	
Cereals	6,320	19.8	6,560	14.6	104
Fruit and vegetables	5,060	15.9	7,340	16.1	145
Citrus fruits	551	1.7	770	1.7	140
Tobacco	2,070	6.5	2,800	6.1	135
Cotton	1,567	4.9	4,140	9.1	264
Raisins	828	2.6	1,030	2.3	125
Olive oil	2,157	6.8	2,800	6.1	130
Livestock	7,952	24.9	12,720	27.9	160
Other products	5,369	16.9	7,370	16.2	137
Total agricultural products	31,874	100.0	45,570	100.0	143

Source: Memorandum on the Greek Development Programme.

EMPLOYMENT AND PRODUCTIVITY

26. A growth rate of 6 per cent per annum in overall production is to be brought about, according to the Plan, by increases of the order of 1 per cent and 5 per cent in employment and productivity respectively. An improvement of this order for the latter is regarded as an indispensable minimum for Greek industry to be able to sustain itself and expand inside the Common Market and for agriculture to be able to expand its exports by reducing production costs and prices. Progress in employment is slow by comparison, as it is not yet sufficient even to absorb the natural increase in the population of working age in a country where unemployment and underemployment are a particularly serious problem. It is true that the figure for net increase in the number of persons in employment (400,000 up to 1961) does not fully represent the improvement which is expected in this field. The number of vacancies in the non-agricultural sectors should increase by 600,000 (two-thirds of this being in service industries and one-third in productive industry), while the number of persons employed in agriculture will decrease by 200,000, which will reduce the under-

employed in this sector by the same amount. It is also probable that progress in productivity in productive and service industries will also lead to some reduction of under-employment in those sectors. The reduction in under-employment and unemployment, which in the non-agricultural sectors will be only 100,000 in 1971 compared with 200,000 in 1961, depends however almost entirely on the expected net emigration which, according to the Plan, should be at the rate of 26,000 a year until 1971.

TABLE 13. TREND OF EMPLOYMENT AND PRODUCTIVITY

	1961		1971		1961-1971 AVERAGE ANNUAL RATE OF INCREASE	
	EMPLOYED (THOUSAND OF PERSONS)	INCOME PER PERSON EMPLOYED (DRACHMAE)	EMPLOYED (THOUSAND OF PERSONS)	INCOME PER PERSON EMPLOYED (DRACHMAE)	EMPLOYED	INCOME PER PERSON EMPLOYED
Agriculture	1,725	14,970	1,525	23,870	— 1.1	4.7
Industry	675	37,300	890	60,300	2.8	5.0
of which:						
Textiles	62	36,800	80	66,900	2.6	6.2
Manufacturing	129	18,200	156	32,400	2.0	6.0
Chemical	33	68,000	53	100,000	4.9	4.0
Engineering	60	35,200	89	56,200	4.0	4.8
Public utilities	19	79,800	28	149,600	4.3	6.5
Services	1,000	42,700	1,325	58,850	3.3	3.3
Total	3,400	39,790	3,800	55,270	1,1	5,1

Source: Memorandum on the Greek Development Programme.

BALANCE OF CURRENT PAYMENTS

27. The provisional Plan provides for an increase in exports of 8 per cent year for the 5-year period for 1962-66. It has been accepted as a hypothesis that exports will expand more rapidly than in the preceding period, taking into consideration the effects of a new crops policy (increased cotton production), the new prospects open since the country's association with the E.E.C. (tobacco, raisins) and the hope that industry will have a larger share in exports. Imports should increase at 9.2 per cent per annum under the Plan. The industrialisation programme in particular calls for a very large increase in imports of capital equipment, whose share in total imports should increase from 26.5 per cent in 1961 to 34.3 in 1966. The fact that imports will increase more than exports, and the trend of the terms of trade, will greatly increase the trade deficit which is already very high since c.i.f. imports are twice the value of exports.

TABLE 14. TREND OF FOREIGN TRADE

Million drachmae at 1961 prices.

	IMPORTS C.I.F.			EXPORTS F.O.B.		
	1961	1966	ANNUAL RATE OF INCREASE	1961	1966	ANNUAL RATE OF INCREASE
0. Food products	2,646	2,893	1.8	1,632	2,289	7.0
1. Drink and tobacco ..	12	21	12.0	2,579	3,292	5.0
2. Raw materials	1,938	2,593	6.0	1,761	2,470	7.0
3. Mineral fuels	1,546	2,378	9.0	—	—	—
4. Oils and fats	217	290	6.0	7	210	—
5. Chemical products .	1,810	2,354	5.4	269	395	8.0
6-9. Manufactured goods	9,154	16,379	12.0	706	1,534	16.8
of which :						
7. Machinery and transport equipment ..	(4,590)	(9,232)	(15.0)	—	—	—
Total	17,323	26,908	9.2	6,954	10,190	8.0

Source : Memorandum on the Greek Development Programme.

28. The trade deficit will be partly offset by the favourable trend in net income from services, the latter account being remarkable particularly for a distinct rise in receipts from tourism, but also on the debit side by a considerable increase in the cost of servicing the foreign

TABLE 15. TREND OF CURRENT TRANSACTIONS WITH FOREIGN COUNTRIES

Million drachmae at 1961 prices.

	1961	1966	ANNUAL RATE OF INCREASE
Merchandise imports (c.i.f.)	17,320	26,910	9.2
Merchandise exports (f.o.b.)	6,950	10,190	8.0
Trade balance	—10,370	—16,270	10.1
Invisible earnings	6,940	10,950	9.5
of which : tourism	2,040	4,550	17.4
Invisible payments	2,200	3,840	12.0
of which : income payments abroad	202	410	15.0
Invisible balance	4,740	7,100	8.4
Current transfers from abroad (mainly emigrants' remittances)	3,140	4,720	8.5
Balance of current transactions	— 2,490	— 4,900	14.5

Source : Memorandum on the Greek Development Programme.

debt. The deficit on the current balance of payments should increase from $ 83 million in 1961 to $ 163 million in 1966. The Plan estimates however that deficits varying from $ 150 to $ 190 million will be recorded in 1963, 1964 and 1965, the years in which a large part of the investment effort will be concentrated. The total deficit for the 5 years covered by the Plan is estimated at $ 800 million on this account.

INVESTMENT

29. The total fixed investment considered necessary to attain the objectives of the Plan is 140 milliard drachmae for the period 1962-1966 (338 milliard for the ten-year period). This amount does not imply any increase in the rate of growth of overall investment which will be of the order of 9 per cent per year as it was during the 1950s. Nonetheless, although the rate of expansion of the gross national product will also remain of the same order of magnitude as during the preceding period, the relative share of investment will increase considerably, since the rate of growth will continue to be higher than that of the gross national product. Thus the proportion of the latter accounted for by the investment, which was only 14 per cent in 1951, that is less than the rates in most industrial countries, rose to 20 per cent in 1971. The carrying out of these investments will require all the more effort since large structural changes are envisaged. The characteristic feature of this field is the rapidly increasing share of industrial investment compared with total investment, this being due to increase from 12 per cent in 1961 to 17 per cent in 1971.

30. The tendency for which the Plan provides to concentrate more investment in industry will be to the detriment of investment in housing and other activities in which capital formation is not so rapidly or directly productive. The distribution of investment by sectors will be considerably improved, but it is not thought that this change in the investment structure will bring about a greater increase in the national income which can result from a given amount of capital. The hypothesis taken is in fact that of diminishing returns :

i) from investment in industry itself, which can be explained by the fact that the effort is mainly concentrated on setting up large units which will begin to operate only after several years, or on accelerated replacement of equipment unsuited to the needs of an economy which wishes to become competitive ;

ii) from investment in agriculture where the cost of expansion in terms of capital is very high, since the changing of crops requires more highly developed irrigation, which is relatively costly and slow to yield results.

31. The Government has prepared a detailed programme of public investment which is an essential instrument for influencing the economic process. This programme consists mainly of infrastructure works

TABLE 16. TREND OF INVESTMENT

At 1961 prices.

	1961	1966	1971	1962-66			1967-71		
				MILLION DRACHMAE	RATE OF INCREASE	% OF TOTAL	MILLION DRACHMAE	RATE OF INCREASE	% OF TOTAL
A. *Private investment*	12,110	21,000	33,000	88,000	11.6	100	136,000	9.5	100
of which:									
Agriculture	1,758	2,850	4,550	13,500	10.1	15.3	18,500	9.8	13.6
Industry and mining	1,881	5,700	9,800	22,500	25.0	25.5	40,000	11.4	29.4
Transport	1,433	3.100	6,160	11,500	16.7	13.1	23,100	14.7	17.0
Housing	5,230	6,750	8,800	29,350	5.2	33.4	39,000	5.5	28.7
Tourism	175	350	700	1,500	14.9	1.7	2,500	14.9	1.8
Other (commercial establishments)	1,633	2,250	2,990	9,650	6.6	10.9	12,900	6.0	9.5
B. *Public investment*	8,030	11,500	14,000	52,000	7.4	100	62,000	4.0	100
of which:									
Agriculture	1,686	2,850	4,400	12,000	11.1	23.1	17,100	9.1	27.6
Industry and mining	614	—	—	1,100	—	2.1	—	—	—
Electricity	948	1,850	1,550	8,900	14.3	17.1	7,950	—	12.8
Transport and communications	3,167	3,900	4,500	18,300	4.2	35.2	21,350	2.9	34.4
Administration	403	550	500	2,500	6.4	4.8	2,500	—	4.0
Tourism	290	300	250	1,500	0.7	2.9	1,250	—	2.0
Education	172	600	650	2,700	28.4	5.2	3,100	1.6	5.0
Other (water, drainage, housing, health)	750	1,450	2,150	5,000	14.5	9.6	8,750	8.5	14.2
C. *Total fixed investment*	20,140	32,500	47,000	140,000	9.4		198.000	7.7	

Source: Memorandum on the Greek Development Programme.

needed for the expansion of agriculture (land improvement) industry (electrification, communications), tourism and cultural and social investment (education, public health). Public investment accounts for a high proportion (more than one-third) of total investment, precisely because the economy is lacking in infrastructure. It has progressed very rapidly for some years and the Plan provides for a reduction in its rate of increase. Thus, while it had expanded by 20 per cent per annum between 1955 and 1961, the expansion will be 7.4 per cent between 1962 and 1966 and 4 per cent during the 5 succeeding years. The annual amount of public investment is fixed each year by the Government within the general framework of the Plan, and the programme is then modified in the light of the economic situation of the moment and the possibilities of financing.

32. The various objectives having been thus defined, their attainment supposes that the private sector will take a really active part in carrying out the programme. Some assumptions have also been made about domestic savings and the inflow of funds from abroad so that the whole of the investment planned may be carried out in stable monetary conditions and with an economy fully open to the rest of the world and associated with that of the E.E.C. countries. The authorities have only limited powers to act in these various fields, which explains the margin of uncertainty concerning the development Plan. For this reason it has seemed necessary to deal at some length in the next part of this paper with the problems of getting the Plan carried out by the private sector and of financing expansion.

III. PROBLEMS OF PRIVATE INVESTMENT AND FINANCING OF DEVELOPMENT

33. The State has considerable powers at its diposal for remodelling agriculture on the lines desired. It is responsible for approximately half of the necessary investment, it gives considerable subsidies for the crops which it is desired to grow, it fixes the price of wheat, it can decree how much land shall be allotted to tobacco growing, and it finances private investment through the Agricultural Bank, a semi-public institution which is allowed to grant long-term loans at 2 per cent interest in certain cases. In industry, on the other hand, investment decisions are entirely left to private enterprises. Although in principle the State reserves the right to intervene in this field, it does not intend to take direct responsibility for part of these investments in the immediate future, as it did in recent years (with the oil refinery, the nitrogenous fertilizer plant, and the sugar refineries). Moreover, the means which have already been or could be employed to stimulate and direct investment in this sector are not nearly so effective as those employed in agriculture. It therefore, seems that the Plan, in which industrialisation is one of the principal themes, will largely depend for its success on the response of the private sector to the invitation made to it.

34. This sector will be required to increase its total investments during the period 1962-65 at the rate of approximately 12 per cent per year, this rate is higher than that which has been reached for some years, and the effort which it implies must be judged in connection with the slowing down of the rate of public investment which is provided for in the Plan, and which had had a stimulating effect on the economy in recent years. The most serious problem is, however, presented by the direction of private investment. Hitherto investment in housing had occupied an important place, whereas the provision in future is for investment in industry to rise by 25 per cent per annum, implying a reversal of the trends observed during the last ten years. The volume of investment in manufacturing industry was hardly any higher in 1961 than in 1950, and remained some 20 per cent below the maximum achieved in 1958. While the present value of the whole of the capital invested in private industry does not at present exceed $ 625 million according to the official estimates, total private new investment in industry during the period 1962-66 should reach nearly $ 720 million.

The Greek authorities appear to be basing their theory of a big acceleration in private investment in industry on the strengthening of the policy of incentives, and on the new conditions created by Greece's association in the E.E.C. These two factors should also influence not only the behaviour of local entrepreneurs but also to a great extent that of foreign entrepreneurs, whose contribution is considered as very important for the achievement of the programme.

35. The Greek authorities expect the association with the E.E.C. to give an immediate stimulus to private investment since:

1. A large part of existing industry has no other choice if it wishes to survive this union but to make a considerable effort of renovation and adaptation to the new conditions. It is true that complete abolition of barriers is provided for only after 22 years,[1] but protection will already be reduced by half in 1975 and even before that date it will in many cases be insufficient to enable existing industries which do not modernise themselves meanwhile to meet foreign competition successfully.
2. Because of the availability of manpower, its skills and the relatively low level of wages, and taking account also of the unexploited natural resources, Greece's integration in the Common Market offers great apportunities for the creation of new industries which should prove particularly interesting for foreign capital.

36. One cannot however rely entirely on the spontaneous expansion of investment, and administrative, legal, fiscal and monetary measures tending to encourage private enterprise in industry have

1. 12 years in principle for new industries.

strikingly increased in numbers and effectiveness in recent years. The measures are often to some extent selective so as to direct industrial investment towards certain regions, enterprises in the provinces being particularly favoured, or towards specific activities. The greatest encouragement is given to exporting firms. The new industrial policy is being applied at a favourable moment, in view of the better conditions for saving and the scale of the infrastructure works (road network, electrification) already carried out or in progress. The delays in this field which were an obstacle to development are gradually being eliminated.

Tax facilities and administrative measures

37. A law voted in 1962 introduced much greater flexibility into the administrative controls concerning constitution, modernisation or expansion of an enterprise. The effort to influence private investment in recent years has however been made mainly by fiscal incentives :

a) *Amortization rates.* By a law of 1957 these rates were increased by 50 per cent for new enterprises and those which expanded by modernising their equipment during the period 1958-62. The reserves set aside by enterprises to cover capital depreciation may thus attain as much as about 10 per cent of that capital per annum for industrial buildings, and 20 to 25 per cent for machinery and capital equipment. These percentages are doubled for industrial enterprises establishing themselves in the provinces. Laws of 1959 and 1961 have further reinforced fiscal incentives of this kind.

b) *Other avantages.* Industrial enterprises in existence in 1959 are exempt, under a law of that year, from any Customs duty or other tax on capital equipment imported[1] for purposes of modernisation, on condition that the old disused equipment is scrapped or exported. Since 1961, larger exemptions may be given to new enterprises investing more than $ 2 million. In addition to imported capital equipment, these exemptions cover buildings materials, research equipment, and cranes and vehicles needed to carry out the investment project. These firms may enjoy the same advantages if they subsequently expand. Among the other tax advantages provided for in particular cases must be mentioned the reduction of the turnover tax for enterprises established in the provinces, the exemptions or reductions on registration fees where enterprises are merged or limited companies formed ; the undertaking not to increase the rate of tax on undistributed profits[2] for a period not exceeding 15 years for large enterprises ; and the deduction of 2 to 4 per cent of gross receipts from exports from the gross taxable income of enterprises.

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1. Customs duties for machinery vary for the most part in Greece between 10 per cent and 30 per cent of the import price.
2. This tax is at present 35 per cent.

FINANCING FACILITIES

38. The tax advantages referred to in the preceding paragraphs are supplemented by a series of other measures, also recent, intended to provide better bank credit facilities and to re-invigorate the capital market. Credit policy is all the more important since, according to estimates, some 70 per cent of the assets of enterprises have been formed with borrowed funds, provided for the most part by the banking system. There was until 1962, however, only one specialised credit institution in Greece for financing long-term investment, the Organisation for Financing Economic Development, whose assets, constituted by Marshall Aid counterpart funds, are limited.[1] A large part of this finance is therefore provided by a few large commercial banks. Their assets are mainly derived from short-term deposits, and the monetary authorities decided in 1958 to block 15 per cent of the counterpart of bank deposits and reserve those funds for financing investment. To enable the assets deriving from short-term deposits to be devoted rather to the provision of working capital and to enable long-term credit to be more soundly based, the Greek banks recently decided at the request of the authorities to increase their capital substantially and they obtained 585 million drachmae from the capital market for this purpose in 1961 and 1962. They also founded in the first half of 1963, with the collaboration of large foreign banks, two investments banks, one with participation of the National Bank of Greece (a private bank) and the other with that of the Commercial Bank.

39. The rates of interest (including commissions) charged by the banks for long-term loans to industry were reduced in 1959 from 12 per cent to 8 per cent. The Monetary Committee decided in 1962 that further selective reductions should be made for the benefit of enterprises merging, modernising or expanding, and of those exporting a specified proportion of their production. The rates of interest vary in these cases from 4 per cent to 7 per cent.[2] Other measures taken in 1962 provide for other facilities to be granted to the same categories of enterprise, mainly concerning the ceiling for financing. In particular, the banks are authorised to grant credits :

1. for five years, for covering 70 per cent of an increase in working capital made necessary by extension or modernisation of an enterprise ;
2. for ten years for financing up to 70 per cent of the planned investment on the basis of technical and economic studies presented by the party concerned.

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1. They are just been reinforced by a loan of $ 5 million from the American A.I.D.
2. These enterprises also enjoy privileged treatment for short-term credit.

If it is considered necessary for an enterprise to increase its share capital by resort to the market, the banks are authorised temporarily to subscribe the whole or a part of the amount of the issue.

40. To facilitate recourse by private industry to the capital market, which is at present very limited, limited companies have since 1957 been authorised to issue bonds or shares with a dollar clause and various tax advantages, on condition that the proceeds of the issue are put to productive investment. The fundamental reform of the status of limited companies voted in 1962 also aims at making the capital market more attractive to the public. Among other things it provides for :

— issue of privileged shares enjoying a fixed rate of interest even when the enterprise is making no profits ;

— issue of bonds convertible into shares ;

— minimum share capital henceforwalrd fixed at 5 million drachmae, or 10 million if the company wishes to go into the capital market ;

— strengthening of the supervisory powers of the minority ;

— setting aside of a sum equal to at least 6 per cent of the share capital for payment of initial dividend.

Measures to encourage foreign direct investment

41. The investment of foreign private capital in Greece is governed by Law No. 2687 of 1953. This law has been incorporated in the country's Constitution and may therefore not be amended by Parliament. The protection of the law is given solely to capital « destined to increase production and contribute to the country's economic progress ». The privileged regime covers the following fields :

a) *Repatriation of invested capital*

Purchase of the foreign currency needed for this repatriation is allowed within certain limits. The amounts earmarked for annual amortization of the capital may not, as a general rule, exceed 10 per cent of the capital imported, but this percentage may be increased if the enterprise established in Greece is recognised by a decision of the Council of Ministers as being particularly important for the economy of the country.

b) *Transfer abroad of profits and interest*

The transfer is authorised annually of up to 12 per cent of imported capital on account of profits and 10 per cent on account of interest, but derogations from this rule are allowed in the same

cases and under the same conditions as for repatriation of capital. Recent laws allow larger transfers in certain cases. Thus under Law No. 4171 of 1961 enterprises investing more than $ 2 million in Greece may be authorised to export profits up to a limit of 6 per cent of the capital invested, including even the part of that capital which has already been repatriated. Exporting enterprises may also export each year a total, by way of capital repayment, profit and interest, of up to 70 per cent of the value of their exports (1962 Law).

c) *Fiscal and Customs facilities*

The Government may make special concessions to foreign enterprises regarded as being especially important for the country's economy (exporting firms, industries established for the first time in Greece); in particular it may exempt them partly or wholly from customs duties on imported goods and from certain other taxes, and may undertake not to increase income tax for 10 years. Law. No. 4171 of 1961 increases these advantages to some extent.

d) *Foreign employees in enterprises*

Important technical or administrative positions can be held by foreign employees paid in transferable currency. The foreign employees of enterprises subject to Law. No. 4171 (those investing more than $ 3 million) are exempt from income tax for five years.

e) *Other guarantees*

Foreign enterprises are guaranteed treatment as favourable as other similar enterprises in the country, that is to say they are guaranteed against any compulsory expropriation or prohibition of the export of their products.

f) *Procedure*

Applications are made to the Ministry of Co-ordination. They are approved jointly by the Ministry of Co-ordination, the Ministry of Finance and the responsible technical Ministry (for example the Ministry for Industry) on the advice of an advisory committee. The administrative act authorising the raising of capital lays down the method of evaluating capital raised in kind, the period for which it is to be lent, the detailed conditions for its amortization and, in general, all other matters relating to foreign investment.

It should be noted that the 1962 law laying down the procedure for setting up of new industries by local entrepreneurs also applies to foreign entrepreneurs who do not request the advantages conferred by Law No. 2687 of 1953.

Trend of foreign investment in Greece

42. Authorisations for import of private foreign capital under the protection of the 1953 law amount so far to approximately $ 350 million. The amount actually imported, however, is only $ 80 million. Some of the projects approved by the Greek authorities have been abandoned but most of them are, it seems, being put into effect, notably the aluminium plant which alone will account for the import of some $ 50 million during the next three years. Imports of « productive » capital may therefore be expected to increase in the immediate future. They already amounted to $ 16.8 million in 1962, and the Plan provides for net imports of from $ 100 to 120 million over the period 1962-1966. This figure might be exceeded, if only because of the new project recently approved for an industrial complex in Northern Greece to include an oil refinery, a steelworks and a chemical plant, the total cost of which would exceed $ 100 million.

43. For the first few years after the law came into force the Greek authorities tended, it seems, to apply it in rather a restrictive manner. More than half the applications made up to 1959 were refused, often so as to avoid the risk of commitments which were felt to be excessive in relation to the contribution which the project would make to the country's development. Since 1960, however, a change has come about both in the quality of the projects submitted and in the attitude of the authorities responsible for studying projects, and the percentage of applications refused has fallen to about 20 per cent. It also seems that the time lag between submission of an application and its final approval is being reduced. The delay was sometimes very long. These negotiations are usually concerned with the advantages to be enjoyed by the foreign firm and the obligations which it will assume. The advantages generally relate to fiscal concessions (including reduction of Customs duties on imported goods) and to the privileged position which the foreign enterprise asks for in the Greek market (protection against possible competitors). The Greek authorities often ask of the foreign enterprise in return that its production shall be limited to certain clearly specified products, or shall not exceed a certain ceiling (a limit to the consumption of power or a maximum number of employees), or shall at least reach a predetermined level, or that a certain proportion of it shall be exported. Among the obstacles which sometimes discourage foreign investment in Greece should be mentioned the double taxation to which foreign firms are often subject, owing to the lack of agreements on this question between Greece and a large number of countries.

The entrepreneur's problem

44. Another obstacle to the industrialisation of Greece is the lack of businessmen, and the insufficient technical and economic training of those that there are. It was to help in overcoming this difficulty

that the Industrial Development Office was set up in 1959. This organisation, which is mainly concerned with the technical appropriation of various projects and with showing local or foreign entrepreneurs what are the opportunities for investing in Greece, has begun or completed a number of studies with the help of foreign firms :

1. on the possibilities and prospects in various branches of industry (hides and skins, textiles, and in part the iron and steel and chemical industries) ;
2. on the production costs and conditions for a specified enterprise or project, at the request of a firm already in existence or with a view to setting up a new enterprise provided for in the Plan (steelworks, phosphate fertilizer plant).[1] The Industrial Development Office has set up some enterprises (Greek marble) or participated in their capital (aluminium). Its policy is to multiply contacts with foreign countries and help « marriages » between Greek and foreign firms.

DEVELOPMENT FINANCE

45. For ten years the Greek economy has been able to expand without serious strains, with remarkably stable prices and substantial increases in national savings. There has however always been a fundamental disequilibrium between supply and demand in the country (or between the national product and expenditure), which is natural for a developing country and appears as a persistent external deficit. During the last five years this has reached in all 16 billion drachmae, that is on the average 3 per cent of gross national expenditure and 20 per cent of private and public fixed investment. The financing of this deficit has not raised important problems, partly because of aid from the United States and partly because of imports of private capital. In the future, however, the financing of investment may raise serious problems, as investment increases at the rate provided for in the Plan. According to the Plan, the internal sources of funds available for such financing in the period 1962-1966 will amount to 124 billion drachmae, on the assumption that domestic savings will increase by 8.5 per cent annually. To finance the rest of the investment forecast according to the Plan it will therefore be necessary to obtain 24 billion drachmae ($ 800 million) of foreign funds, while United States supporting assistance (which amounted to $ 40-45 million on the average between 1959 and 1961) has been discontinued from 1962 onwards.

PUBLIC SAVINGS

46. It is estimated that the current receipts of the public sector in the broadest sense (not limited to the central Government alone) will increase by 7.5 per cent per annum, as against a rise of 6.3 per

1. Similar studies have been carried out by the Ministry for Co-ordination and some of the big banks.

cent in current expenditure ; this would represent an increase of nearly 15 per cent per annum in public savings. For the full 5-year period (1962-1966) these savings would amount to nearly 22 billion drachmae and would represent 4.5 per cent of the gross national income in 1966, compared with 3 per cent in 1961. This increase in public savings will be obtained without resorting to higher taxation which, according to official quarters, would have weakened the expansion. In June 1962, the Public Authorities even reduced the income tax payable by individuals. The rates applied to low and middle-range incomes were reduced and tax exemptions for family responsibilities were raised from 2,000 to 4,000 drachmae per annum for each dependant. It was nevertheless decided at the same time to raise indirect taxation by introducing new taxes on consumption (tobacco, beer), so that the fiscal reform of 1962 does not affect State income as a whole. It is even expected that, at longer term, it will help to increase the yield in so far as control can be concentrated more on the higher incomes and will thus enable tax evasions to be more effectively checked. For this same purpose, certain presumptions were also introduced for the assessment of net income according to external signs of wealth (rent paid, ownership of motorcars).

47. The forecasts for the expansion of public receipts (taking « State » in its broadest sense) are plausible, at least if the experience of the period 1958-1962 is taken into account, when the average annual rate of increase was about 11 per cent. But the chances of reaching the public savings target will depend mainly on the possibility of reducing the rate of increase in current State expenditure to 6.3 per cent per annum instead of 11 per cent in the period 1958-1962. It is true that a feature of that period was a sudden extension of the social policy (pension scheme for agricultural workers), the effects of which on public expenditure are to some extent final. Even when this factor is left out of account, the rate of expansion of current expenditure on goods and services, amounting to about 8 per cent in the last 5 years in spite of the small increase in defence expenditure, was appreciably more than is allowed for in the Plan. It seems, however, that the forecasts allow for a heavy increase in certain expenditure which is more or less essential to the completion of an expansion programme. This applies, in particular, to current expenditure on all forms of education, including technical and vocational training, which previously represented less than 2 per cent of the national income. Further adjustments to civil service salaries, which are still very low, also seem inevitable not only because of pressure from those concerned but because such increases will no doubt contribute to the greater efficiency of various administrative departments, for which an extension is also planned. In the long run, the trend of official expenditure on consumer goods will largely depend on the country's military effort, which now absorbs more than one-third of this expenditure.

Private savings

48. Under the Plan, private savings are to develop at a rate of 7.5 per cent per annum, amounting in all to about 102 billion drachmae for the five years 1962-1966. This rate is lower than in the previous five years, when firms and individuals were building up their cash reserves. Yet it is still appreciably higher than the growth rate for the national income. It is estimated in this connection that the growing attraction of the capital market might in itself produce considerable savings and that industrial progress and the prospects open to contractors might also encourage them to intensify their self-financing effort. The State does not seem, however, to contemplate stimulating savings by any new measures to restrict consumption. The present policy in this respect, which consists mainly of controlling bank credits and placing heavy taxes on luxury goods, will be continued but it is considered that more intensive restraints on consumption might have unfavourable effects on the economic activity and, in particular, might discourage private investment.

Internal financing problems

49. Savings in the private sector are now far in excess of private investment whereas public sector savings cover only about 35 per cent of public investment. The execution of the Plan should result in a more balanced distribution of savings between the two sectors, for it is planned that public savings shall grow faster than investment where-

Table 17. FINANCING OF INVESTMENT

Million of drachmae at 1961 prices.

	1961	1966
G.N.P. at market prices	108,770	145,900
— consumption	92,600	121,300
+ net current transfers from the rest of the world	3,140	4,700
Gross internal savings	19,310	29,300
a) private	16,415	23,530
b) public	2,895	5,770
Internal gross fixed capital formation	20,150	32,500
a) private	12,120	21,000
b) public	8,030	11,500
Stocks	1,650	1,700
a) private	1,350	1,400
b) public	300	300
Demands (—) or capacity (+) for finance	—2,490	—4,900
a) private sector	+2,945	+1,130
b) public sector	—5,435	—6,030
Net capital transfers from rest of world	3,235	...
Fluctuations in foreign exchange reserves and clearing accounts (— = increase)	— 745	...

Source: Memorandum on the Greek Development Programme.

as the reverse movement should occur in the private sector. Yet this improvement will be only relative; it is estimated, indeed, that from 1961 to 1966, the last year of the Plan, the demand for finance in the public sector will continue to increase.

50. The problem of directing private savings, now in course of formation, towards productive private investments seems difficult to solve. The capital market, which was practically non-existent five years ago, has of late been almost wholly concerned with public issues. The success of a few private loans in 1962 is encouraging but, in view of the present structure of interest rates, the return on shares and securities and the attraction of real estate dealings, it seems scarcely probable that participation in industrial investment by the finance market will reach the desired scale. Moreover, the banking system, which has ample funds, is naturally inclined to develop short-term loans far more than long-term loans. Whereas current regulations provide that the equivalent of 15 per cent of the total shall be allocated to medium or long-term loans, part of the amount reserved in this way remains unused. The desirable adaptation of the banking policy might take a long time, in view of the difficulties which the banks would encounter in large-scale financing of the establishment of entirely new undertakings in an economy which is in a state of flux.

51. A whole series of problems also emerges, concerning the financing of public investment. Up to 22 billion drachmae of this should be covered by public savings in the period 1962-1966 but that will leave a deficit of about 30 billion drachmae still to be financed. Part of this deficit (6 billion) might be covered by the anticipated surplus of private savings over private investment and the Authorities are planning to issue internal loans for this purpose. If private investment works out at the anticipated rate, such loans should be kept down to these 6 billion, to preserve to overall balance and to avoid hampering the financing of the private sector. If private investment were to fall short of estimates, the public sector might obtain more funds either by recourse to the capital market or by recourse to the banks (although the Authorities want to limit this last form of financing for psychological reasons). It should then proceed *pro tanto* with additional investment, so as to keep the rate of expansion at the level planned (leaving aside the problem of the nature of these investments).

Influx of foreign capital

52. If the hypotheses of the Plan are realised (and if there is no unexpected additional expansion of private savings) there would still remain a deficit of real resources equivalent to the deficit of real transactions with foreign countries, which the Plan estimates at 24 billion drachmae ($ 800 million), or about 16 per cent of the investment required during the period. Although the Greek Authorities consider it desirable for reserves to rise somewhat so as to maintain a constant proportion between reserves and imports, they make no allowance for

would cover the value of less than 4 months' imports in 1966, against 5.5 months' at present. It is also to be noted that in 1962 the short-term commitments of the economy to foreign countries represented more than a half of the official reserves.

53. It is expected that net entries of private capital will increase in the next few years but at a distinctly lower rate than the growth of the deficit in the balance of current payments. Prospects seem particularly favourable for direct foreign investments under the protection of the 1953 and 1961 Acts. Existing commitments seem to indicate a gross influx of about $ 30 million per annum, as against an average of $ 7 to $ 8 million in recent years. But after deducting any outgoings for transfers of profits and repayments of capital, the net influx should be about $ 20 to $ 25 million per annum. Furthermore, the repatriation of Greek capital, which at present constitutes the great majority of entries of private capital, will probably slow down. Finally, it is to be expected that supplier's credits will continue to increase, but the Greek Authorities are anxious to avoid financing long-term requirements by this means and wish to maintain a reasonable proportion between the volume of such credits and official reserves of foreign exchange.

54. Incoming private capital does not fully cover the balance of payments deficit and in recent years Greece has had the benefit of generous contributions from funds of public origin. To United States aid, which stood at about $ 40 to $ 50 million per annum, should be added aid from germany comprising a loan of $ 50 million made in 1958, a credit for a project of $ million and technical aid of about $ 5 million, also given in 1962, as well as indemnification payments made between 1960 and 1962 of about $ 29 million. The cessation of American defence aid, the near exhaustion of indemnification payments and increasing charges for the service of the post-war external debt, to which should be added those resulting or likely to result from the settlement of the pre-war debt, have caused the Greek Authorities to seek replacement sources as well as new sources of finance for the increased needs arising out of the development programme. In the context of this association with the E.E.C., Greece has received a loan of $ 125 million for a period of five years. The D.L.F. and the I.D.A. have also undertaken to finance certain investments included in the programme, whilst N.A.T.O. takes over a proportion of the defence expenditure in place of the United States. In spite of these contributions, a considerable deficit is apparently still to be covered and that is the reason why a Consortium has been set up in the O.E.C.D., to co-ordinate the action of the various Member countries of that Organisation which have decided to help Greece to carry on the development of its economy.

Conclusions

55. The experience of the last ten years has shown that the Greek economy can combine a relatively satisfactory growth rate with sus-

tained internal stability. The results achieved however should not be allowed to mask the difficulties which must still be overcome : employment has not substantially improved, and the slowing down of the growth rate, recently observed, is a warning signal. In view of the relatively low standards of life in Greece and the substantial unemployment and under-employment which still persists, it is essential that economic activity should expand with all speed. Easy improvements in agriculture can no longer be relied upon to provide this expansion, as they did in the previous decade. Moreover, the new conditions of international competition which will follow from Greece's association with the European Economic Community will compel a radical overhaul of Greek industry, which has so far been sheltered behind high protection. The necessary structural changes call for a sustained determination to branch out into fresh activities, while a more intensive investment effort will be needed to obtain the same growth rate as in the past.

56. The Greek authorities are fully alive to the need to integrate all these development efforts into one coherent whole, and the planning done since 1959 is the indication of this. The Greek Plans go a long way beyond a simple forecast of the desired development of the economy, since in principle they fix the level of State revenue and expenditure and therefore of public saving, draw up a programme of public investment (more than a third of total investment) and take into account the major private projects for productive investment. It is nonetheless desirable to improve the institutional framework of the programme and to pursue the efforts being made to give wide publicity to the targets of the Plan and to give the public a clear picture of the tasks to be accomplished.

57. On matters of substance, the first obstacle to the faster development of the Greek economy is the weakness of private productive investment. This is still below the level assumed in the Plan in spite of a number of important installations, completed or about to be completed by foreign enterprises. There are two different points here. The first is that there was insufficient demand for investment by the private sector, no doubt connected with the fact that the opportunities for investment at the present stage of development seem to be limited and with the protracted negotiations for Greece's association with the E.E.C. and the resultant uncertainties ; the second is that it is very difficult for new enterprises to gain access to sources of finance. The problem here is not, or at any rate not primarily, the volume of private savings, but their orientation. A sizeable proportion of these savings is still, in fact, being directed towards house building or speculation in immovable property. The adoption of new measures to discourage these activities (so far as they do not correspond to actual requirements) might improve the orientation of savings but would also be in danger of affecting its volume. Furthermore, neither the banking system nor this in their estimates, so that the amount of foreign funds deemed necessary for the execution of the Plan is exactly equal to the deficit

of the current balance. On this assumption, gold and curency reserves the capital market are as yet well adapted to provide the « risk capital » needed to create new enterprises. The situation in the money market in 1962, when large amounts of disposable capital remained unused, seems typical in this respect, although the creation of two investment Banks might change matters.

58. The Greek Government has recently manifested the intention to intensify its action for the encouragement of industrial development. It does not, however, seem that the Government can go much further in the way of tax concessions which are already very considerable. What is mainly expected is the simplification and co-ordination of the measures already taken in this field, improved arrangements for the long-term financing of industry, and further reductions in the controls and formalities which are still an obstacle to free investment. Nevertheless, it certainly seems that the financial aspect and the business aspect of private productive investment will have to be tackled together. In this connection, it would be advisable to go further in creating semi-public institutions along the lines of investment houses, in which private funds would be used in conjunction with public funds to implement specific projects. Finally, it seems that although substantial advantages are already granted for setting up big industrial units, the possibilities of action to help small and medium-sized firms could be further improved, despite the need for a co-ordinated and integrated development of the whole of Greek industry.

59. The economic growth of Greece at the rate experienced during the past five years has resulted in surplus imports of goods and services of about $ 100 million a year. The Greek authorities have made it clear that in the period now starting, the implementation of the Development Plan will mean a substantial increase in the external deficit. This is due, first, to what might be called the automatic effect which a parallel growth in imports and exports would have on the absolute magnitude of the deficit ; secondly, to the faster growth rate compared with the previous period ; and lastly to the increase in imports implied by a higher rise in the investment rate. In any case, it is difficult to conceive of an accelerated development of the Greek economy without an increased inflow of foreign capital in the initial phase. In this regard, Greece appears to be in a relatively favourable position. Indeed, a growing interest in direct investment in Greece can be observed among foreign businessmen, and capital contributions of this kind can be expected to become more intense in the next few years, especially as Greece's monetary position is sound. This flow of private capital, however, seems unlikely during the next few years to provide all the foreign finance needed to implement the programme, and it would therefore have to be supplemented by a flow of public capital. The establishment within the framework of the O.E.C.D. of the Consortium for aid to Greece is an encouraging sign in this respect.

STATISTICAL ANNEX

TABLE 1. ORIGIN AND USE OF RESOURCES

In million drachmae at constant 1954 prices.

	1959		1960		1961		1962*	
	MILLION DRACHMAE	CHANGE SINCE PREVIOUS YEAR %	MILLION DRACHMAE	CHANGE SINCE PREVIOUS YEAR %	MILLION DRACHMAE	CHANGE SINCE PREVIOUS YEAR %	MILLION DRACHMAE	CHANGE SINCE PREVIOUS YEAR %
Gross National product	79,366	+ 3.9	83,076	+ 4.7	92,656	+ 11.5	96,267	+ 3.9
Import of goods and services [1]	14,707	— 5.7	16,468	+ 12.0	18,365	+ 11.5	19,830	+ 8.0
Total resources	94,073	+ 2.3	99,544	+ 5.8	111,021	+ 11.5	116,097	+ 4.6
Private consumption	60,585	+ 1.9	63,350	+ 4.6	68,178	+ 7.6	69,600	+ 2.1
Public consumption	8,380	+ 7.4	8,589	+ 2.5	8,810	+ 2.6	9,600	+ 8.9
Gross capital formation [1]	13,824	+ 0.2	15,381	+ 11.3	19,580	+ 27.3	20,393	+ 4.1
— private [1]	8,888	— 6.5	10,286	+ 15.7	11,696	+ 13.7	13,200	+ 12.8
— public	4,186	+ 16.9	5,645	+ 34.9	6,484	+ 14.9	7,300	+ 12.6
— changes in stock	750		— 550		1,400		— 107	
Export of goods and services	11,284	+ 3.5	12,224	+ 8.3	14,453	+ 18.8	16,504	+ 14.2
Value of ships	4,866		9,334		6,550		3,260	

1. Excluding value of ships.

Source: Annual Greek questionnaire.

* Provisional.

TABLE 2. INDICES OF ACTIVITY

	WEIGHT BASIS		1961	1962	1961 1st QUARTER	1961 2nd QUARTER	1961 3rd QUARTER	1961 4th QUARTER	1962 1st QUARTER	1962 2nd QUARTER	1962 3rd QUARTER	1962 4th QUARTER	1963 1st QUARTER	1963 APRIL
Industry :														
General index	100.0	1953 = 100	117,9	123,4	106,2	134,8	125,7	114,5	110,8	139,4	134,7	115,2	118,3	117,7
Food	13.2	" "	105,8	109,1	91,8	110,9	128,1	102,5	91,7	108,2	131,2	106,7	105,8	109,5
Tobacco	11.8	" "	107,2	103,9	37,1	229,0	108,7	36,5	28,2	220,1	143,7	32,4	29,5	33,7
Textiles	18.2	" "	119,2	125,7	120,9	111,0	133,9	126,0	125,5	115,7	139,7	135,4	130,1	116,9
Chemicals	9.1	" "	122,9	135,3	124,3	119,5	122,5	146,7	134,8	132,0	132,9	143,3	144,2	146,0
Building materials	7.6	" "	107,9	115,5	86,8	112,2	137,3	105,4	98,9	124,3	132,6	100,4	116,4	120,6
Basic metallurgical industry	3.2	" "	145,0	163,7	141,0	145,1	157,3	163,7	157,6	173,4	181,6	147,2	144,8	148,5
Metal products	4.3	" "	147,7	166,8	160,8	161,3	122,0	148,0	186,1	181,5	169,6	133,4	168,0	153,7
Electricity production		monthly average mill. of Kwh	208	231	209	200	201	222	224	211	227	253	248	
New housing :														
(number of building licences)		monthly average	2,160	2,341	1,669	2,531	2,662	1,760	1,627	2,744	2,988	2,006	1,683	3,024
Merchant navy :														
Total tonnage (thousand tons)		end of period	6,394	6,774	5,560	5,839	6,179	6,394	6,583	6,632	6,737	6,774	6,883	6,943
Idle tonnage			265	1,110	319	279	286	265	334	436	888	1,110	942	899
Tourism :														
Number of foreign tourists entering Greece (thousands)		monthly average	38,6	47,1	18,0	43,5	62,9	23,3	19,1	55,9	86,0	27,5	20,0	61,2
Employment and unemployment :														
Index of industrial employment		1953 = 100	107	108	105	106	107	108	108	108	109	106		
Registered unemployed		thousands	76	76	100,1	72,6	59,9	71,4	84,4	75,2	64,7	80,0	87,0	80,0
Emigration :														
Permanent emigrants		monthly average	4,903	7,004	3,553	5,212	5,988	4,860	5,022	6,902	9,051	7,041	6,745	

Source : Monthly Statistical Bulletin of Greece.
O.E.C.D. General statistics.

TABLE 3. PRICE INDICES

					1961				1962				1963	
		1960	1961	1962	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	APRIL
1. Wholesale price index (Athens-Piraeus Region)	1953=100	133	135	134	138	137	134	133	132	133	134	138	144	144
— raw materials and semi-manufactured products	"	122	123	121	123	124	124	122	122	122	121	120	119	118
— manufactured products	"	129	130	129	130	129	129	130	129	128	128	131	130	130
2. Index of prices paid by farmers	1954=100	117	122	125	121	120	118	122	129	126	121	125		
3. Index of production prices in agriculture	"	112	118	120	118	118	118	119	122	121	117	121		
4. Index of retail prices	1959=100	102	104	105	105	105	103	104	103	104	104	105	107	108
of which : food products	"	102	105	103	107	106	103	103	102	103	103	106	111	109

Source : O.E.C.D. General statistics.
Monthly Statistical Bulletin of Greece.

TABLE 4. FOREIGN TRADE (based on Customs statistics)

Million dollars.

					1961				1962				1963	
		1960	1961	1962	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	APRIL
Imports [1]	monthly average	42.8	48.1	52.1	45.1	49.8	47.3	66.2	51.3	48.2	51.0	57.7	55.8	27.4
Exports	»	16.9	18.6	20.7	15.8	12.4	10.9	35.2	25.1	14.1	11.8	31.9	29.2	26.9
Trade balance	»	— 25.9	— 29.5	— 31.4	— 29.3	— 37.4	— 36.4	— 31.0	— 26.2	— 34.1	— 39.2	— 25.8	—26.6	— 0.5
Terms of trade	1953=100	109	111	113	112	108	107	114	113	109	106	122	121	122
Transfer of ships	monthly average	15.7	11.4	6.4	9.7	7.8	8.9	19.1	7.2	12.8	1.5	3.9	1.1	1.2

1. Excluding ships.

Source : Monthly Bulletin of the Bank of Greece.
O.E.C.D. General Statistics.

TABLE 5. MONEY AND CREDIT

Millon drachmae.

	1960	1961	1962	1961 1st QUARTER	1961 2nd QUARTER	1961 3rd QUARTER	1961 4th QUARTER	1962 1st QUARTER	1962 2nd QUARTER	1962 3rd QUARTER	1962 4th QUARTER	1963 1st QUARTER	1963 APRIL
MONEY SUPPLY :													
1. Notes in circulation	10,187	11,630	13,761	9,489	9,527	10,725	11,630	10,943	11,700	12,519	13,761	12,527	13,428
2. Coinage	313	547	601	401	477	509	547	515	530	550	601	567	591
3. Sight deposits	5,021	5,653	6,145	5,242	5,247	5,804	5,653	5,193	5,502	6,090	6,145	6,033	5,838
of which deposits of individuals and firms	3,581	3,931	4,176	3,514	3,559	3,925	3,931	3,599	3,881	4,134	4,176	3,925	3,928
4. Total available money	15,526	17,831	20,507	15,132	15,251	17,039	17,831	16,651	17,732	19,159	20,507	19,127	19,857
5. Savings deposits	10,835	12,863	15,521	11,376	11,889	11,888	12,863	13,545	14,253	14,731	15,521	16,538	16,968
6. Time deposits	1,262	1,691	3,872	1,277	1,424	1,377	1,691	2,287	2,815	3,416	3,872	4,554	4,586
7. Other	1,516	1,930	1,930	1,695	1,784	1,693	1,930	2,056	2,000	1,927	1,930	1,964	1,950
8. Total deposits	18,634	22,137	27,468	19,590	20,344	20,762	22,137	23,081	24,570	26,164	27,468	29,089	29,393
CREDIT TO THE ECONOMY :													
9. Credit financed by the Bank of Greece	9,410	11,028	11,538	9,060	10,047	10,301	11,028	10,410	10,493	10,275	11,538	11,142	10,961
10. Credit financed by the commercial banks	11,436	12,802	16,065	12,231	12,733	13,033	12,802	13,033	14,575	15,786	16,065	16,256	17,295
11. Total credit to the economy	28,676	32,387	37,872	29,419	31,190	31,846	32,387	32,267	34,646	36,262	37,836	37,978	38,917
RATE OF INTEREST (end of period)													
12. Official discount rate	6 %	6 %	6 %	6 %	6 %	6 %	6 %	6 %	6 %	6 %	6 %	6 %	5.5 %
13. Sight deposits	2 %	2 %	2 %	2 %	2 %	2 %	2 %	2 %	2 %	2 %	2 %	1,5 %	1.5 %
14. Savings deposits (up to 100,000 drachmas)	5 %	5 %	5 %	5 %	5 %	5 %	5 %	5 %	5 %	5 %	5 %	5 %	5 %
15. Time deposits (up to one year)	5.25 %	6 %	6 %	6 %	6 %	6 %	6 %	6 %	6 %	6 %	6 %	5.75 %	5.75 %
16. Basic rates of interest for credit to industry	8 %	8 %	8 %	8 %	8 %	8 %	8 %	8 %	8 %	8 %	8 %	7.5 %	7.5 %

Source : Monthly Bulletin of the Bank of the Greece.

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